

Senate File 383

S-3104

1 Amend Senate File 383 as follows:

2 1. Page 2, by striking lines 12 and 13 and inserting
3 <reduction in reimbursement for services, a promotion of
4 one participating pharmacy over another, or comparing the
5 reimbursement rates of a pharmacy against mail order pharmacy
6 reimbursement rates.>

7 2. Page 2, line 19, after <payor> by inserting <for
8 similarly classified pharmacies>

9 3. Page 4, by striking lines 19 through 31 and inserting:
10 <NEW SUBSECTION. 4. For the purpose of reducing premiums,
11 one hundred percent of all rebates received by a pharmacy
12 benefits manager shall be passed through to the health carrier,
13 or to the employee plan sponsor as permitted by the federal
14 Employee Retirement Income Security Act of 1974, 29 U.S.C.
15 §1001, et seq.>

16 4. Page 5, after line 5 by inserting:

17 <NEW SUBSECTION. 7. If a covered person's policy, contract,
18 or plan providing for third-party payment or prepayment of
19 health or medical expenses qualifies as a high-deductible
20 health plan under section 223 of the Internal Revenue Code,
21 and a copayment, coinsurance, or deductible paid by the
22 covered person as a cost-sharing requirement under this chapter
23 would result in the covered person becoming ineligible for a
24 health savings account associated with the covered person's
25 high-deductible health plan, subsection 5 shall apply only
26 after the covered person satisfies the covered person's minimum
27 deductible, except for items or services determined to be
28 preventive care under section 223(c)(2)(C) of the Internal
29 Revenue Code.>

30 5. By striking page 5, line 34, through page 6, line 1, and
31 inserting <report to the commissioner, in a form approved by
32 the commissioner, of all drugs reimbursed below the national
33 average drug acquisition cost, and all drugs reimbursed ten
34 percent or more above the national>

35 6. Page 6, after line 21 by inserting:

1 <e. Upon the request of the commissioner, a pharmacy
2 benefits manager shall provide the commissioner with any
3 additional information pursuant to paragraph "b" in a form and
4 manner prescribed by the commissioner in a manner that does not
5 publicly disclose the information, and that complies with the
6 federal Health Insurance Portability and Accountability Act of
7 1996, Pub. L. No. 104-191. Requested information may include
8 but is not limited to health benefit plan, manufacturer, or
9 market specific information.>

10 7. By striking page 6, line 31, through page 7, line 4, and
11 inserting <pricing.>

12 8. Page 7, line 5, by striking <c.> and inserting <b.>

13 9. Page 7, by striking lines 19 through 21 and inserting
14 <process to allow a pharmacy to appeal any matter.>

15 10. Page 8, line 1, after <appeal> by inserting <related to
16 a reimbursement rate>

17 11. Page 8, by striking lines 16 through 18 and inserting:

18 <b. If the pharmacy benefits manager denies a pharmacy's
19 appeal, the pharmacy benefits manager shall do all of the
20 following:

21 (1) Provide the appealing pharmacy the national drug
22 code number and the name of a wholesale distributor licensed
23 pursuant to section 155A.17 from which the pharmacy can obtain
24 the prescription drug at or below the reimbursement rate.

25 (2) If the prescription drug identified by the national
26 drug code number provided by the pharmacy benefits manager
27 pursuant to subparagraph (1) is not available below the
28 pharmacy acquisition cost from the wholesale distributor from
29 whom the pharmacy purchases the majority of its prescription
30 drugs for resale, the pharmacy benefits manager shall adjust
31 the reimbursement rate above the appealing pharmacy's pharmacy
32 acquisition cost, and reverse and resubmit each claim affected
33 by the pharmacy's inability to procure the prescription drug
34 at a cost that is equal to or less than the previously appealed
35 reimbursement rate.

1 Sec. _____. PHARMACY SERVICES ADMINISTRATIVE ORGANIZATIONS
2 AND WHOLESALE DISTRIBUTION OF PRESCRIPTION DRUGS — REPORT.

3 1. Before January 1, 2026, the commissioner of insurance, or
4 the commissioner of insurance's designee, shall review pharmacy
5 services administrative organizations and the wholesale
6 distribution of prescription drugs, and submit a report to the
7 general assembly containing the commissioner's findings and
8 recommendations. The report shall include, at a minimum, all
9 of the following:

10 a. A description and analysis of the prescription drug
11 wholesale distribution supply chain, including the market
12 concentration for the wholesale distribution of prescription
13 drugs, margins in the wholesale distribution of prescription
14 drugs, and the competition in the wholesale distribution of
15 prescription drugs.

16 b. A description of the role that pharmacy services
17 administrative organizations serve in the prescription drug
18 supply chain.

19 c. A description and analysis of the relationships between
20 pharmacy services administrative organizations, prescription
21 drug wholesalers, and retail pharmacies, including but
22 not limited to standard contracting terms, fees charged to
23 pharmacies, and contractual restrictions and limitations
24 applicable to retail pharmacies.

25 2. a. The commissioner of insurance shall provide the
26 information pursuant to subsection 1 to the general assembly in
27 a format that does not publicly disclose any of the following:

28 (1) The identity of a specific pharmacy services
29 administrative organization or prescription drug wholesaler.

30 (2) The price charged to a specific pharmacy for a specific
31 prescription drug.

32 b. Information provided under this section by the
33 commissioner to the general assembly that may reveal the
34 identity of a specific pharmacy services administrative
35 organization or prescription drug wholesaler, or the price

1 charged to a specific pharmacy for a specific prescription
2 drug, shall be considered a confidential record.>

3 12. Page 8, line 20, by striking <managers> and inserting
4 <managers, health carriers, third-party payors, and health
5 benefit plans>

6 13. Title page, by striking lines 1 and 2 and inserting
7 <An Act relating to pharmacy benefits managers, pharmacies,
8 prescription drugs, and pharmacy services administrative
9 organizations, and including applicability provisions.>

10 14. By renumbering as necessary.

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